Public debt

Public debt is the total amount of money owed by a country's government, and includes historic debt. Nations with big economies and large tax-paying populations can carry more debt than those without.

How it works

The total amount borrowed by a country's government (and by its previous governments) is known as the public or national debt. This is generally calculated as the total debt minus the government's liquid assets. Interest is due on this debt, and it can be substantial. If a government spends more than it collects in taxes in one year, it will be in deficit. Any money it borrows to cover this is then added to the public debt. When the government spends less than it collects in taxes in a year, it has a "surplus," which can be used to pay down the debt. Inflation can also help reduce a debt burden. A state that becomes unable to pay its debt is said to "default," and will find it hard to borrow again.

Carrying debt

Governments usually repay debt using taxes. The more money they raise, the faster they can repay it. The larger a country's economy, the more debt it can safely hold, since a bigger economy can gather more taxes.